



URBAN MIDDLE CLASS

CUT IN EXCISE ON AUTOMOBILES

BENEFICIARIES: 10 million two- and four-wheeler users

I-T EXEMPTION: Hiked from Rs 1.1 lakh to Rs 1.5 lakh

BENEFICIARIES: 35 million I-T assesseees, or a populace of over 150 million

URBAN RENEWAL: Through JNNURM, a spend of **Rs 6,866 crore**

EXPECTED IMPACT: 100 urban constituencies

REALITY CHECK: Urban renewal has helped Congress return to power in Delhi, so the JNNURM and the tax exemption hike to counter erosion of base should help.

WOMEN

ALLOCATIONS IN 27 MINISTRIES: Rs 11,460 crore

PLUS: Rs 5,378 crore in schemes where 30 per cent of the money goes to women

TOTAL: **Rs 16,838 crore**

BENEFICIARIES: A populace of 496 million and 321 million voters

REALITY CHECK: Tax sop should help but Congress will have to counter BJP's promise of 33 per cent quota.

MINORITIES

ALLOCATION HIKE TO
Rs 1,725 CRORE

PLAN FOR 90 MINORITY

CONCENTRATION DISTRICTS:

Rs 3,780 crore. Of this, Rs 580 crore will be allocated this year.

BENEFICIARIES: A populace of 140 million and 90 million voters

REALITY CHECK: Too little to make a dent. May polarise voters in some states with BJP already labelling the Budget as communal.

NORTH-EAST

RS 1,455 CRORE FOR MINISTRY FOR DEVELOPMENT OF NORTH-EAST

PLUS: **Rs 16,447 crore** spent through programmes

IMPACT: 25 constituencies

REALITY CHECK: Focus may help generate sympathy but the Congress aura in north-eastern states is marginal.

Venezuela and Cuba".

The move was clearly a Sonia number. She had held five meetings with the prime minister and the finance minister. Delayed by her illness in December, the first meetings were held as late as January, by which time the Budget is almost decided. At one point, the magnitude of the waiver seemed to be daunting, but finally Manmohan and Chidambaram agreed that it was not a question of "if" but "how". This is reflected in some of the confusion over the legalities and financing of this idea.

It is early days yet to predict the poll dates. What is clear, though, is that it will be held earlier than the scheduled

date. Leader of the Opposition L.K. Advani set the ball of speculation rolling when, debating the motion of thanks to the President's Address, he said, "There are full indications that the general elections will be held in 2008 instead of 2009." Manmohan answered, "Shri Advaniji has predicted that this Government will not last its full term. This is not the first time he has been proved wrong."

The Budget has also opened speculation on whether the Congress will reopen the Pandora's box that is the nuclear deal. Indeed, the ayes in the Cabinet believe it is a possibility. Sceptics, though, say that there is nothing

to be gained by going for the deal and losing power. At best, they would wrap up the pre-nuptials of the deal and go for the vows when a new regime is installed in Washington and UPA itself is back in the saddle.

That is the kind of confidence the Budget has triggered. The Congress now has a choice. On the flip side, the Left Front, which for four years occupied the moral high ground and earned itself the title of ruling opposition, suddenly found itself without its primary pro-poor posture. It is a concern that has occupied the best minds of the Left since the Saturday after the Budget.

Polls could be held along with the

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